

Corporate Valuation Methods - Valuation Foundations & Preparing for Valuation

Exercise 1 - Enterprise Value Is Not Equity Value

Northstar Components has an estimated operating enterprise value of €1,480m. The following items are available (€m):

Item	Amount	Additional information
Bank debt	360	Interest-bearing
Cash and equivalents	125	Management says €45m is required for day-to-day operations
Listed equity investment	38	Unrelated to core operations
Shares outstanding	50m	

Required: (a) Estimate excess cash. (b) Build the EV-to-equity bridge using the simplified framework taught in class. (c) Estimate value per share. (d) Explain why debt is subtracted, why excess cash is added, and why the listed equity investment is treated separately from the operating business.

Exercise 2 - Normalization: Management Calls Everything 'One-Off'

Helios Consumer reports 2026 EBIT of €510m. Its annual report and management presentation identify the following items (€m):

Item	2026	History / context	Management label
Restructuring expense	42	€28m, €35m and €31m in prior three years	Non-recurring
Gain on sale of unused land	18	No similar gain in prior two years	Exceptional
Cyberattack remediation	14	First major incident	Exceptional
Acquisition integration costs	22	Acquisitions are part of stated growth strategy	One-off
CEO retention award	9	Three-year award; first year expensed in 2026	Exceptional
Product recall cost	16	No recall in prior five years	Exceptional

Required: (a) For each item choose: adjust, retain, or investigate further. (b) Estimate a defensible base-case normalized EBIT. (c) Explain why management's label alone is not sufficient for normalization. (d) State the three pieces of additional information you would most want before finalizing the normalization.

Exercise 3 - Invested Capital and ROIC: Keep the Numerator and Denominator Consistent

Orion Retail reports the following (€m):

Item	Amount
Normalized EBIT	240
Operating tax rate	25%
Inventory	300
Trade receivables	260
Operating PP&E and other operating assets	1,540
Trade payables	220
Accrued operating liabilities	180
Excess cash	250
Marketable securities unrelated to operations	90
Interest-bearing debt	700

Required: (a) Calculate NOPAT. (b) Calculate invested capital using the operating approach: operating assets minus operating liabilities. (c) Calculate ROIC. (d) Explain why excess cash, marketable securities and interest-bearing debt are not included in the operating invested-capital calculation. (e) Explain why including excess cash in invested capital would distort the ROIC of the operating business.

Exercise 4 - Same Growth, Different Value-Creation Economics

Three businesses each generate current NOPAT of €250m. Management of each targets 7% operating-profit growth.

	Atlas	Beacon	Cedar
Expected ROIC on incremental investment	20%	10%	6%
Indicative WACC	8%	8%	8%

Required: (a) Estimate the reinvestment rate, reinvestment and FCFF implied by the 7% growth target. (b) Compare the cash-flow consequences of the same growth target across the three firms. (c) Explain what ROIC relative to WACC tells you about the economics of growth. (d) Explain why Cedar could increase accounting earnings while destroying economic value.

Exercise 5 - From EBIT to FCFF

Lumen Services reports the following (€m):

Item	Amount
Normalized EBIT	330
Operating tax rate	25%
D&A	55
CapEx	82
Increase in operating NWC	24

Required: (a) Calculate NOPAT. (b) Calculate net CapEx. (c) Calculate total reinvestment. (d) Calculate FCFF using both forms: $\text{NOPAT} + \text{D\&A} - \text{CapEx} - \Delta\text{NWC}$ and $\text{NOPAT} - \text{Reinvestment}$. (e) Calculate the reinvestment rate. (f) Explain why EBITDA would not be an appropriate substitute for FCFF.

Exercise 6 - Valuation Preparation Committee Case

You are the valuation team reviewing Nova Health before a full DCF. The objective is not to value the shares today. Your task is to decide what operating economics are credible enough to carry into Session 2.

2026 information	Amount	Comment
Reported EBIT	€620m	Includes items below
Restructuring charge	€36m	Charges in 3 of last 4 years
Gain on sale of headquarters	€25m	Non-core asset sale
One-off cyber incident cost	€18m	First major incident
Operating tax rate	26%	
D&A	€80m	
CapEx	€92m	
Increase in operating NWC	€28m	
Beginning invested capital	€3,100m	Operating invested capital
Cash	€310m	Treasury estimates €110m required operationally
Interest-bearing debt	€1,050m	

Required: Prepare a one-page valuation-preparation recommendation. It must: (1) propose normalized EBIT and explain each adjustment; (2) calculate NOPAT; (3) calculate reinvestment and historical FCFF; (4) calculate ROIC using beginning invested capital; (5) calculate the reinvestment rate and the fundamental growth rate implied by the current operating economics; (6) identify excess cash for a future EV-to-equity bridge; (7) identify the correct discount rate for FCFF; and (8) explain what still needs to be forecast before a full DCF can be completed.